FINANCIAL ANALYSIS

Mallplaza's rental engine grows at roughly 3% in real terms with an 80% EBITDA margin and cash-flow leverage below 2.5x; headline profit, growth and leverage all overstate that engine and must be normalized before forecasting.

Figure 1: ROE on distributable profit of 8–10% (not the shareholder's return); reported ROE follows the appraisal

CLP bn	'22 A	'23 A	'24 A	'25 A	'26 E	'27 E	'28 E	'29 E	'30 E	'31 E
Revenue	371	420	495	654	704	767	827	887	936	982
EBITDA margin %	76.2	76.7	77.0	80.5	79.7	79.7	79.7	79.8	79.8	79.8
FFO margin %	59.0	61.3	61.3	62.0	60.9	60.0	57.7	55.4	52.7	52.2
Net income, reported	158	350	336	1,431	639	591	614	634	637	660
Distributable profit	96	198	238	369	380	428	438	446	441	454
Net margin, normalized %	25.8	47.0	48.2	56.5	54.0	55.7	53.0	50.3	47.2	46.3
Asset turnover (x)	.086	.090	.092	.097	.089	.090	.091	.093	.094	.095
Assets / equity (x)	1.94	1.91	1.86	1.77	1.69	1.70	1.73	1.78	1.84	1.89
ROE, reported %	7.1	14.4	11.7	37.5	13.7	11.8	11.7	11.8	11.8	12.0
ROE, normalized %	**4.3**	**8.1**	**8.3**	**9.7**	**8.1**	**8.5**	**8.4**	**8.3**	**8.1**	**8.3**
ROA, normalized %	2.2	4.2	4.5	5.5	4.8	5.0	4.8	4.7	4.4	4.4

Normalized = distributable profit (2022A team proxy; 2022 UF indexation inflated by ~13% inflation). Average balances; series starts in 2022 (IAS 40 fair value applied retroactively from 1 Jan 2022). 2026E–2031E: valuation base case; balance sheet rolled forward from Dec-25 (equity + reported profit − ordinary and additional distributions; property revalued at 3% inflation, 27% deferred tax; net debt rising to 3.5x EBITDA by 2031E). Source: Plaza S.A. financial statements (CMF), Note 20e; 2Q26 results release (FFO); Team analysis.

Reported earnings track the appraiser; FFO tracks the business

Under IAS 40, revaluations of investment property run through the income statement. In 2025 a CLP 1,447bn fair-value gain, 27% of opening property value against about 2% a year at Parque Arauco and Cencosud Shopping, lifted attributable net income to CLP 1,431bn (2.2x revenue) and reported ROE to 37.5% (Figure 1). About two-thirds of Chile's 29% uplift came from a lower appraisal discount rate (6.62% to 5.64% real, Note 11), not from higher NOI (Appendix 3C).

Excluding fair-value gains net of deferred tax, audited distributable profit was CLP 369bn and ROE 9.7%; with the same adjustment we apply to peers it would be 10.0%, the highest of the three (Appendix 6). FFO, which we rebuild from the statements to within 0.02% of the reported CLP 405bn (Figure 2), held a 59–62% margin over 2022–2025 while net income swung more than fourfold. FFO excludes the UF indexation of debt (CLP 44bn, 11% of FFO); distributable profit includes it and is our conservative earnings anchor.

Broken down, 2025 normalized ROE (9.7%) is a 56.5% normalized net margin times an asset turnover of 0.097x and 1.77x accounting leverage. It is not the shareholder's return: the denominator is equity at appraised value, and each revaluation raises its book value without generating cash flow, because it is a non-cash fair-value change that does not enter FFO or dividends. We therefore forecast normalized ROE of 8–9%, rising only with leverage.

Two-thirds of 2025 growth was bought; organic real growth is about 3%

Revenue rose 76% between 2022 and 2025, but 21.8pp of 2025's 32.2% came from perimeter: the Peruvian portfolio bought from Falabella, consolidated from 4 December 2024 (Appendix 3C). Ex-Peru, revenue grew 10.7% in 2025 and 7.1% in 1H26.

Once currency and inflation are removed, the 7.4% growth of 1H26 falls to ~3.0% real (Figure 3): Chile 2.8% (UF +3.1%), Peru 4.5% (occupancy 93.8%) and Colombia ~1% net of the 7.5% COP appreciation and 6.1% inflation.

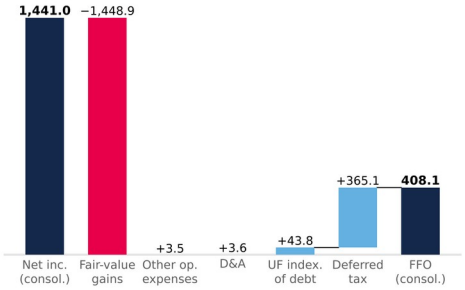
In our reading, growth depends more on contracts than on sales: variable rent is 5.1% of 1H26 revenue and fell 1.1% while tenant sales rose 6.7%, because minimum rents (+5.5%) are outpacing sales (+3.7%). It is not a bond: 15.1% of GLA expires within two years and tenant solvency matters, and real growth converges on the 0.4–0.9% of the appraisal.

Margin gains came from mix and cost recovery; further room looks limited

EBITDA margin rose from 76.2% in 2022 to 80.5% in 2025 for two reasons. Peru consolidates at an 83% segment margin, against 80% in Chile and 73% in Colombia. And Chile's margin gained 2.4pp on a higher recovery of common charges, presented net of cost (Note 2.20): real, but dependent on occupancy and tenant negotiations, so we do not extrapolate it.

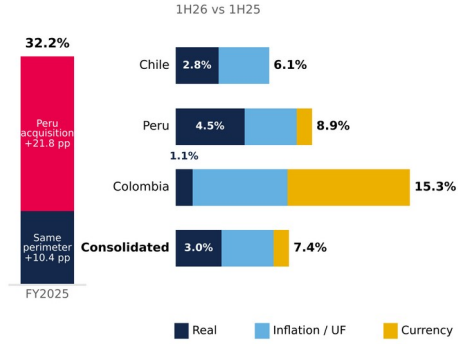
Operating costs (cost of sales plus administration) were 20.1% of revenue in 2025 and include D&A (0.55%): 20.1% − 0.55% = 19.5% = 1 − EBITDA margin (Appendix 3). If they were fixed, a 1% fall in revenue would cut EBITDA by 1.24% (1.1% if half were variable). In 1H26 EBITDA grew 7.4%, in line with revenue, and margin held at 79.7%. Administrative expense rose 18.1% on payroll (+18.9%: CEO transition and a full year of Peru), bad debts normalizing from a 2025 base flattered by recoveries, and a one-off Colombian wealth tax of CLP 1.7bn. Excluding the last two, 1H26 margin would be 80.4%.

Figure 2: Removing fair-value gains and non-cash items turns CLP 1,441bn of profit into CLP 408bn of FFO (CLP bn)



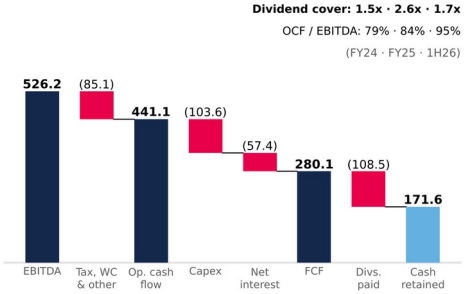
Light blue adds back, red removes, navy = totals. After minorities (CLP 2.8bn), FFO attributable is CLP 405.2bn vs CLP 405.3bn reported. Source: Plaza S.A. financial statements (CMF) FY2025, Notes 13.1 and 23; Team analysis.

Figure 3: Two-thirds of 2025 growth was bought; in 1H26 currency and inflation explain more than half



Segments split multiplicatively (real × inflation × FX) from local-currency growth (Chile 6.1%, Peru 7.9%, Colombia 7.3%); consolidated weighted by FY2025 revenue. Source: Plaza S.A. interim financial statements (CMF), Note 24; UF (SII/BCCh); Bloomberg FX; INEI; DANE; Team analysis.

Figure 4: Free cash flow covers dividends 1.5–2.6x even as capex rises (FY2025, CLP bn)



Cash flow statement (direct method; interest paid in financing). FCF before debt repayment. Capex = investment property + intangibles + PP&E (15.8% of revenue in 2025; 24.8% in 1H26). Source: Plaza S.A. financial statements (CMF); Team analysis.

Cash covers the dividend 2.6x before debt and 1.8x after repaying it

Operating cash flow rose from CLP 301bn in 2024 to CLP 441bn in 2025. Cash tax was only 15% of operating profit, sheltered by tax goodwill and loss carry-forwards (Note 13), and will rise toward the 27% statutory rate. After capex and net interest, free cash flow before debt was CLP 280bn, covering dividends 2.6x (Figure 4); 1.8x after repaying net debt (Appendix 2D).

The CLP 71.9bn (+38.6%) rise in 1H26 operating cash flow comes 78% from higher collections (partly December balances: receivable days from 66 to 50) and 15% from lower taxes paid; we do not extrapolate it.

The dividend policy pays out 40% of distributable profit with a one-year lag and the covenant (net debt/equity ≤ 2.0x; 0.26x at June) does not constrain it: retained cash was CLP 171.6bn in 2025. In the base case, FFO rises from CLP 428.5bn in 2026E to 512.6bn in 2031E and ordinary dividends from CLP 147.7bn to 176.5bn; the remaining cash, together with new debt, funds capex and the additional distributions (Appendix 5).

Capex is stepping up. Contractual investment commitments rose to CLP 78bn at June 2026 from CLP 18bn in December 2025, and 1H26 property capex was CLP 81bn (+176%). The base case funds the USD 579m of remaining dated pipeline over 2026–2028 (including USD 134m of other projects in Chile) and then keeps adding about 27,000 m² a year, the 2022–2025 organic pace: total capex settles near 16% of revenue, 5.5% maintenance and ~11% incremental (Figure 7).

Cash-flow metrics earn the AAA; equity-based ratios flatter it

LTV fell from 26.9% to 18.8% in 2025, but 5.0pp of the 8.0pp drop came from revaluing the denominator; with property at 2024 value plus additions, LTV would have been 23.8% (Figure 5). Cash-flow metrics support Feller Rate's upgrade to AAA (25 September 2026), but of the fall in net debt/EBITDA from 3.78x to 2.36x, 0.75x is perimeter (Peru consolidated one month in 2024; pro forma ≥ 3.0x), 0.39x EBITDA growth and only 0.28x lower debt (Appendix 3B). EBITDA covers financial costs 8.4x.

Gross debt of CLP 1,633bn is 79% UF, 14% PEN and 7% COP, matching revenue currencies; 95% is long term, with a 6.6-year duration. The UF bonds carry a 3.36% real coupon (3.48% effective); with UF indexation the all-in nominal cost was about 7% in 2025. Maturities cluster in 2029, 2031 and 2033 (Figure 6); refinancing series S (1.32% effective) at the latest issue's 4.33% would add about CLP 4.9bn a year. At June 2026 the current ratio was 2.50x and cash covered current liabilities 1.71x.

One liability does not show up in LTV: deferred taxes, CLP 1,313.7bn at June 2026, almost 80% of gross financial debt. They arise almost entirely from property revaluation; they are not debt to be repaid, but they show how much of the CLP 4,820.9bn book equity is appraisal rather than cash (Appendix 2). Against peers the balance sheet is conservative: LTV of 18.8% versus 42.9% at Parque Arauco and 16.3% at Cencosud Shopping, and net debt/EBITDA of 2.49x versus 5.68x and 2.11x (Appendix 6).

Our base case spends that headroom. Net debt/EBITDA converges linearly from 2.36x to 3.5x by end-2031E, between Cencosud Shopping (2.1x) and Parque Arauco (5.7x), and each extra turn adds 25bp to the real cost of debt. Cash beyond the 40% payout and the capex plan is returned through buybacks or special dividends, CLP 1.7tn cumulatively over 2H26E–2031E (Appendix 5). At 3.5x the new AAA would likely come under pressure.

The forecast carries forward what history supports, including the pace of expansion

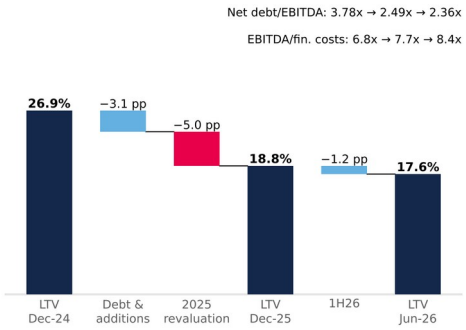
Revenue grows 7.7% in 2026E and 5.0% in 2031E (2026E–2031E CAGR 6.9%), as real same-store growth converges to the appraisal midpoints, 170,200 m² of dated pipeline matures (including 46,500 m² of other projects in Chile opening in 2028) and, from 2029E, about 27,000 m² a year opens at the historical pace (Figure 7); 2026E revenue sits 0.3% above the BEst consensus of 13 analysts (Appendix 3C). EBITDA margin stays at 79.7–79.8%, below the 2025 peak. Cash tax (Chile's rate) normalizes from 16.8% to 27% by 2030E and financial costs rise with leverage, so FFO margin slides from 60.9% to 52.2%. Working capital is held at 15.6% of revenue, the December 2025 level (Appendix 1). New GLA yields 7.3% on cost, a 5.3% real return after tax against a 7.2% real WACC: expansion adds revenue but not value.

What this means for valuation

The analysis leaves three conclusions for the model. First, the right earnings base is cash: we use the company's EBITDA, which removes revaluation once (Appendix 4), and distributable profit as the anchor, not the CLP 1,431bn accounting profit. Second, business quality is not in doubt: with the same adjustment for all three, Mallplaza earns the highest normalized ROE of its local peers (10.0% against 7.8% at Parque Arauco and 8.0% at Cencosud Shopping) with an LTV of 18.8% (Appendix 6).

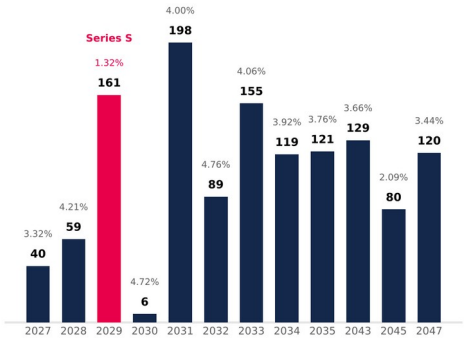
Third, existing capital barely earns its cost. 2025 ROIC, with NOPAT at 27% over capital at appraised value, was 7.3%, in line with our 7.2% real WACC; the comparison is with the real rate because that ROIC excludes revaluation (Appendix 3). New capital, by contrast, earns less than its cost (RONIC of 5.3%). At the current price, 2026E FFO of CLP 428.5bn yields 5.5% on market value (18x FFO) and distributable profit 4.9%: the market is paying for these cash flows as if they were almost risk-free. That is the gap the Valuation section quantifies. In short: a high-quality business, with predictable cash and a comfortable balance sheet, whose price already discounts more than those cash flows can deliver.

Figure 5: Two-thirds of the 2025 fall in LTV is revaluation, not deleveraging



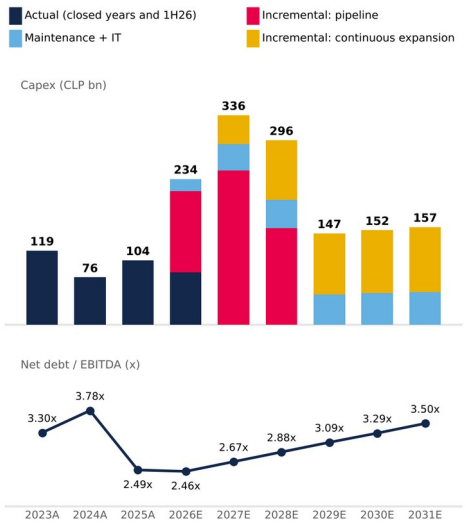
LTV = net financial debt / investment property. Debt & additions = LTV with property at 2024 value plus 2025 additions (23.8%). Jun-26 ratios on LTM EBITDA. Source: Plaza S.A. financial statements (CMF), Notes 11 and 26; MD&A 2025 and 1H26; Team analysis.

Figure 6: Refinancing risk sits in 2029, 2031 and 2033, not in the near term



UF bonds, book value Dec-25 (total CLP 1,277.7bn); label = effective real rate (two-series years: book-value-weighted). Excludes CLP 301.6bn of PEN/COP bank debt. Source: Plaza S.A. financial statements Dec-25, Note 14; Team analysis.

Figure 7: After the pipeline, incremental capex for continuous expansion keeps total capex near CLP 150bn a year; net debt/EBITDA rises to 3.5x



2026E includes CLP 84.2bn of 1H26 (no breakdown by type). Maintenance + IT = 5.5% of revenue; incremental = pipeline under way + continuous expansion. 2024A: one month of Peru EBITDA. Source: Plaza S.A. financial statements (CMF); 2Q26 results release; model v4 (Appendix [B]).